# Managerial Accounting - Solved Question Papers

MBA Semester I (2024 Pattern) | Paper 1: [6430]-501 (Nov 2024 / May 2025) | Paper 2: [6380]-5001

## PAPER 1 : [6430]-501 | MA-501-MJ/GC-01 Managerial Accounting

### Q1) Solve any five out of eight (2 marks each) - all eight solved

#### a) i) Commission received is an example of _____

**Answer: C) Nominal A/c.** Commission received is an income, and all incomes and expenses are nominal accounts. Rule: Debit all expenses and losses, Credit all incomes and gains.

#### a) ii) Basic objective of cost accounting is _____

**Answer: C) Cost ascertainment.** Cost accounting mainly finds out the cost of a product, job or service, and then helps in cost control and decision making.

#### b) List down any four forms of organisation.

- Sole proprietorship (one-man business)
- Partnership firm
- Joint Stock Company (Private / Public Ltd.)
- Co-operative Society (others: LLP, Hindu Undivided Family business)

#### c) Define standard costing.

Standard costing is a technique in which the **standard (pre-determined) cost** of a product is fixed in advance under normal conditions, then compared with the **actual cost**. The difference is called **variance**, which is analysed so that corrective action can be taken. It is used for cost control and performance evaluation.

#### d) Difference between variable cost and fixed cost with example of each.

| Basis | Variable cost | Fixed cost |
|---|---|---|
| Behaviour | Changes in proportion to output | Remains constant in total for a given period / range |
| Per unit | Remains constant per unit | Falls per unit as output rises |
| Example | Direct material, direct wages (piece rate) | Factory rent, salary of manager |

#### e) One example of capital expenditure and revenue expenditure each.

- **Capital expenditure:** Purchase of machinery for Rs. 5,00,000 (gives benefit for many years, shown in balance sheet).
- **Revenue expenditure:** Payment of monthly salaries or electricity bill (benefit only in current year, charged to P&L A/c).

#### f) Describe the term opportunity cost.

Opportunity cost is the value of the **next best alternative given up** when one alternative is selected. Example: if a person uses his own shop worth Rs. 20,000 rent per month for his business, the rent he could have earned (Rs. 20,000) is the opportunity cost. It is not recorded in books, but it is important in decision making.

#### g) i) The point at which total cost equals total revenue is called _____

**Answer: A) Break-even point.** At this point there is no profit and no loss.

#### g) ii) Cash budget is prepared by _____

**Answer: C) Finance manager.**

#### h) Describe cash budget.

A cash budget is an estimate of expected **cash receipts and cash payments** for a future period (usually month by month). It shows the expected closing cash balance, so the firm knows in advance whether there will be a cash surplus or a shortage (and need of an overdraft). It helps in cash planning and control.

## Q2) Solve any two out of three (5 marks each) - all three solved

### a) Explain Bahi-khata along with its advantages and limitations.

**Meaning:** Bahi-khata is the traditional Indian system of book-keeping (also called Mahajani or Deshi Nama system), used for centuries by Indian traders, mostly in cloth, grain and money-lending business. Books are written on long cloth-bound registers in local language. The main books are **Rokad Bahi** (cash book), **Khata Bahi** (ledger), **Nondh Vahi** (journal) and **Hundi Bahi**.

**Advantages**

- Simple, cheap and easy to learn; written in the local language.
- Records are kept in a form that traders easily understand.
- Both aspects of a transaction are recorded, so it is a double-entry type system.
- Gives quick information about cash and credit position of the party.

**Limitations**

- No uniform rules, so each trader follows his own method; comparison is difficult.
- Not accepted fully by banks, tax authorities and for audit; no standard final accounts.
- Not suitable for big companies and not as per accounting standards / Companies Act.
- Chances of errors and fraud are more because of weak internal control.

### b) Explain the following concepts along with example: i) Single entity concept ii) Going concern concept

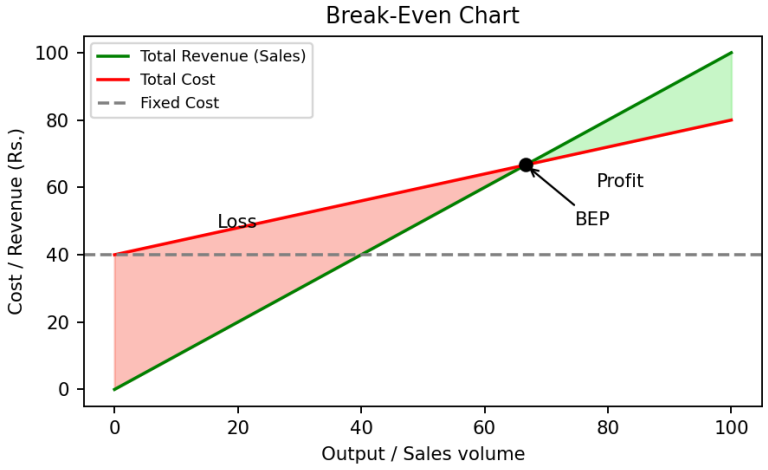
**i) Single (Business) entity concept:** The business is treated as a separate unit, distinct from its owner. Owner's personal transactions are not mixed with business transactions. *Example:* If Mr. Ram introduces Rs. 2,00,000 as capital, the business is considered to owe Rs. 2,00,000 to Ram (capital is a liability of the business). If he takes goods for home use, it is shown as drawings.

**ii) Going concern (Ongoing concern) concept:** It is assumed that the business will continue for an indefinite period and will not be closed or sold in the near future. Because of this, assets are shown at cost less depreciation and not at their sale value, and prepaid expenses are carried forward. *Example:* A machine bought for Rs. 1,00,000 with 10 years life is depreciated Rs. 10,000 per year, even though its current resale value may be lower.

### c) Write a note on Break-even point along with diagram.

**Meaning:** Break-even point (BEP) is the level of sales (in units or Rs.) where total revenue equals total cost, i.e., no profit and no loss. Below BEP there is a loss, above BEP there is a profit.

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BEP (units) = Fixed Cost / Contribution per unit
BEP (Rs.) = Fixed Cost / P/V Ratio ; P/V Ratio = (Contribution / Sales) x 100
Margin of Safety = Actual Sales - BEP Sales
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**Uses**

- Finds minimum sales needed to avoid a loss; helps in fixing target profit and selling price.
- Helps in decisions like make or buy, product mix and plant expansion.

- Limitation: assumes fixed cost is constant and selling price is constant.

## Q3) Attempt any one (10 marks) - both solved

### a) Mahesh Traders - Trading A/c, Profit & Loss A/c and Balance Sheet

*Note: the question says trial balance for year ended 31-3-2023 but statements for 31-3-2024. It is a printing mistake, so both are taken as the same year (year ended 31-3-2024).*

**Working of adjustments**

- Depreciation: Plant & Machinery 15% of 1,80,000 = 27,000; Vehicles 20% of 70,000 = 14,000; Furniture 10% of 20,000 = 2,000. Total = 43,000.
- Outstanding wages 3,800 added to wages; outstanding salaries 4,500 added to salaries; outstanding interest on overdraft 4,600 added to interest (10,000 + 4,600 = 14,600).
- Provision for doubtful debts = 5% of 12,000 = 600. Closing stock = 58,000.

**Trading Account for the year ended 31-3-2024**

| Particulars | Rs. | Particulars | Rs. |
|---|---|---|---|
| To Opening stock | 72,000 | By Sales | 5,12,000 |
| To Purchases | 2,20,000 | By Closing stock | 58,000 |
| To Carriage inward | 8,000 | | |
| To Wages (80,000 + 3,800) | 83,800 | | |
| To Gross profit c/d | 1,86,200 | | |
| **Total** | **5,70,000** | **Total** | **5,70,000** |

**Profit and Loss Account**

| Particulars | Rs. | Particulars | Rs. |
|---|---|---|---|
| To Salaries (38,000 + 4,500) | 42,500 | By Gross profit b/d | 1,86,200 |
| To Advertisement | 10,000 | By Rent received | 10,000 |
| To Stationery | 8,300 | | |
| To Office expenses | 4,100 | | |
| To Bank charges | 100 | | |
| To Carriage outward | 3,700 | | |
| To Interest on overdraft (10,000 + 4,600) | 14,600 | | |
| To Depreciation (27,000 + 14,000 + 2,000) | 43,000 | | |
| To Provision for doubtful debts | 600 | | |
| To Net profit (transferred to capital) | 69,300 | | |
| **Total** | **1,96,200** | **Total** | **1,96,200** |

**Balance Sheet as on 31-3-2024**

| Liabilities | Rs. | Assets | Rs. |
|---|---|---|---|
| Capital | 4,05,000 | Goodwill | 30,000 |
| Add: Net profit | 69,300 | Land | 1,60,000 |
| | 4,74,300 | Building | 2,20,000 |
| Bank overdraft | 1,40,000 | Plant & Machinery 1,80,000 - 27,000 | 1,53,000 |
| Bills payable | 23,000 | Vehicles 70,000 - 14,000 | 56,000 |
| Creditors | 56,600 | Furniture 20,000 - 2,000 | 18,000 |
| Outstanding wages | 3,800 | Closing stock | 58,000 |
| Outstanding salaries | 4,500 | Debtors 12,000 less provision 600 | 11,400 |
| Outstanding interest | 4,600 | Cash in hand | 400 |
| **Total** | **7,06,800** | **Total** | **7,06,800** |

Both sides tally at Rs. 7,06,800, so the answer is correct. **Gross profit = Rs. 1,86,200; Net profit = Rs. 69,300.**

### b) Rishabh Co. Ltd - Cost statement (year ended 31-3-2023)

**Classification used (assumptions)**

- Carriage inward is added to material cost. Design office salaries, repairs, factory rent, depreciation of plant, factory gas & water and 3/4 of manager's salary are factory overheads.
- Counting-house salaries, office rent, depreciation of furniture, director's fees, office gas & water, 1/4 of manager's salary, general expenses, bad debts, carriage outward, travelling and traveller's salary/commission are office, selling and distribution overheads (general on-cost).
- Cash discount allowed is a financial charge. Income tax and dividend are appropriations of profit. These are not part of cost.

| Particulars | Rs. | Rs. |
|---|---|---|
| Stock of material (31-3-2022) | | 6,28,000 |
| Add: Material purchased | | 18,50,000 |
| Add: Carriage inward | | 71,500 |
| Less: Stock of material (31-3-2023) | | (4,80,000) |
| (i) Material consumed | | 20,69,500 |
| Productive (direct) wages | | 12,60,000 |
| (ii) PRIME COST | | 33,29,500 |
| Factory overheads: Design office salaries 65,000 | | |
| Repairs of plant, machinery & tools 44,500 | | |
| Rent, rates, taxes & insurance (factory) 85,000 | | |
| Depreciation - plant, machinery & tools 65,000 | | |
| Gas and water (factory) 12,000 | | |
| Manager's salary (3/4 of 1,00,000) 75,000 | | |
| (iii) Factory on-cost | | 3,46,500 |
| (iv) FACTORY COST | | 36,76,000 |
| Counting-house salaries 1,26,000; Carriage outwards 43,000; Bad debts 65,000 | | |
| Rent etc. (office) 20,000; Travelling exp. 21,000; Traveller's salary & commission 77,000 | | |
| Depreciation - furniture 3,000; Director's fees 60,000; Gas & water (office) 4,000 | | |
| Manager's salary (1/4) 25,000; General expenses 34,000 | | |
| (v) General on-cost | | 4,78,000 |
| (vi) TOTAL COST | | 41,54,000 |
| Sales | | 46,11,000 |
| **(vii) NET PROFIT (Sales - Total cost)** | | **4,57,000** |

- Factory on-cost as % of wages = 3,46,500 / 12,60,000 x 100 = **27.5%**
- General on-cost as % of factory cost = 4,78,000 / 36,76,000 x 100 = **13.00%** (approx.)
- Profit as per cost sheet is Rs. 4,57,000. If cash discount allowed (Rs. 29,000) is deducted as a financial expense, the profit becomes Rs. 4,28,000, out of which income tax (10,000) and dividend (20,000) are appropriated.

## Q4) Attempt any one (10 marks) - both solved

### a) ABC Co. Ltd - P/V ratio, BEP, profit and margin of safety

*Observation: Sales 1,50,000 - Gross profit 60,000 means cost is 90,000, and Gross profit 60,000 - Fixed overheads 20,000 = Net profit 40,000 ties exactly. So the 60,000 'gross profit' is the contribution (Sales - Variable cost). The figure 1,20,000 given for variable overheads does not tie, so variable cost is taken as 90,000.*

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Contribution = 1,50,000 - 90,000 = 60,000 (check: 60,000 - 20,000 = 40,000 profit)
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**i) P/V Ratio**

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P/V = Contribution / Sales x 100 = 60,000 / 1,50,000 x 100 = 40%
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**ii) Break-even point**

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BEP = Fixed cost / P/V = 20,000 / 0.40 = Rs. 50,000
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**iii) Net profit when sales are Rs. 4,00,000**

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Contribution = 4,00,000 x 40% = 1,60,000 ; Profit = 1,60,000 - 20,000 = Rs. 1,40,000
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**iv) Sales required to earn profit of Rs. 80,000**

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Sales = (Fixed cost + Desired profit) / P/V = (20,000 + 80,000) / 0.40 = Rs. 2,50,000
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**v) Margin of safety when sales are Rs. 4,00,000**

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MOS = Actual sales - BEP sales = 4,00,000 - 50,000 = Rs. 3,50,000 (87.5% of sales)
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### b) Flexible budget for 9,000 and 11,000 units

Steps: separate each cost into fixed and variable. Selling expenses at 10,000 units = 15 x 10,000 = 1,50,000: fixed 20% = 30,000, variable 1,20,000 (Rs. 12 per unit). Distribution expenses = 5 x 10,000 = 50,000: fixed 20% = 10,000, variable 40,000 (Rs. 4 per unit). Fixed overhead (1,50,000) and management overhead (50,000) are fixed in total.

| Particulars | Per unit (Rs.) | 9,000 units | 10,000 units | 11,000 units |
|---|---|---|---|---|
| Direct material | 60 | 5,40,000 | 6,00,000 | 6,60,000 |
| Direct labour | 30 | 2,70,000 | 3,00,000 | 3,30,000 |
| Variable overheads | 25 | 2,25,000 | 2,50,000 | 2,75,000 |
| Variable expenses | 5 | 45,000 | 50,000 | 55,000 |
| Selling exp. - variable | 12 | 1,08,000 | 1,20,000 | 1,32,000 |
| Distribution exp. - variable | 4 | 36,000 | 40,000 | 44,000 |
| Total variable cost | 136 | 12,24,000 | 13,60,000 | 14,96,000 |
| Fixed overhead | | 1,50,000 | 1,50,000 | 1,50,000 |
| Management overhead | | 50,000 | 50,000 | 50,000 |
| Selling exp. - fixed | | 30,000 | 30,000 | 30,000 |
| Distribution exp. - fixed | | 10,000 | 10,000 | 10,000 |
| Total fixed cost | | 2,40,000 | 2,40,000 | 2,40,000 |
| TOTAL COST | | 14,64,000 | 16,00,000 | 17,36,000 |
| **Cost per unit (Rs.)** | | **162.67** | **160.00** | **157.82** |

As output increases, cost per unit falls because fixed cost is spread over more units (162.67 at 9,000, 157.82 at 11,000).

## Q5) Attempt any one (10 marks) - both solved

### a) Material variances (Standard vs Actual) and reporting of favourable variance

*Actual output is not given, so the standard quantities (total 50 kg, cost Rs. 200) are taken as standard for the actual output. F = Favourable, A = Adverse.*

**1) Material Cost Variance (MCV) = Standard cost - Actual cost**

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= 200 - 150 = Rs. 50 (F)
```

**2) Material Price Variance (MPV) = (SP - AP) x AQ**

| Material | SP | AP | AQ | (SP-AP) x AQ |
|---|---|---|---|---|
| A | 2 | 3 | 5 | (2-3) x 5 = 5 (A) |
| B | 3 | 6 | 10 | (3-6) x 10 = 30 (A) |
| C | 6 | 5 | 15 | (6-5) x 15 = 15 (F) |
| **Total** | | | | **Rs. 20 (A)** |

**3) Material Usage Variance (MUV) = (SQ - AQ) x SP**

| Material | SQ | AQ | SP | (SQ-AQ) x SP |
|---|---|---|---|---|
| A | 10 | 5 | 2 | 5 x 2 = 10 (F) |
| B | 20 | 10 | 3 | 10 x 3 = 30 (F) |
| C | 20 | 15 | 6 | 5 x 6 = 30 (F) |
| **Total** | | | | **Rs. 70 (F)** |

**4) Material Mix Variance = (Revised standard qty - AQ) x SP**

Revised standard quantity = total actual quantity (30 kg) divided in the standard ratio 10:20:20, so A = 6 kg, B = 12 kg, C = 12 kg.

| Material | RSQ | AQ | SP | (RSQ-AQ) x SP |
|---|---|---|---|---|
| A | 6 | 5 | 2 | 1 x 2 = 2 (F) |
| B | 12 | 10 | 3 | 2 x 3 = 6 (F) |
| C | 12 | 15 | 6 | -3 x 6 = 18 (A) |
| **Total** | **30** | **30** | | **Rs. 10 (A)** |

Yield (sub-usage) variance = (SQ - RSQ) x SP = 4x2 + 8x3 + 8x6 = Rs. 80 (F).

**Check:** MCV = MPV + MUV: 50 F = 20 A + 70 F. Also MUV = Mix + Yield: 70 F = 10 A + 80 F. Both tally.

**Should a favourable variance be reported to management?**

**Yes, it should be reported.** Under management by exception, any significant variance (favourable or adverse) needs attention. Reasons: (1) a favourable variance may be due to use of cheaper, poor quality material or less material than needed, which can affect quality and cause later problems. (2) It may show that standards were set too loose and need revision. (3) It may show good efficiency or good purchasing which should be repeated and rewarded. (4) It may be a recording error. Here, the large favourable usage variance (Rs. 70) should be investigated because actual quantity is only 30 kg against 50 kg.

## b) XYZ Ltd - two period results

| Year | Sales | Total cost | Profit / (Loss) |
|---|---|---|---|
| 2023 | 40,00,000 | 44,00,000 | (4,00,000) |
| 2024 | 60,00,000 | 56,00,000 | 4,00,000 |

**i) P/V ratio = Change in profit / Change in sales**

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= (4,00,000 - (-4,00,000)) / (60,00,000 - 40,00,000) = 8,00,000 / 20,00,000 = 40%
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**iii) Fixed cost (taking 2024)**

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Contribution = 60,00,000 x 40% = 24,00,000 ; Fixed cost = Contribution - Profit =
24,00,000 - 4,00,000 = Rs. 20,00,000
Check 2023: 40,00,000 x 40% = 16,00,000 ; 16,00,000 - 20,00,000 = loss 4,00,000
(correct)
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**ii) BEP sales**

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BEP = Fixed cost / P/V = 20,00,000 / 0.40 = Rs. 50,00,000
```

**iv) Sales for profit of Rs. 10,00,000**

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= (20,00,000 + 10,00,000) / 0.40 = Rs. 75,00,000
```

**v) Sales to earn 20% profit on sales**

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S = (FC + 0.20 S) / 0.40 -> 0.40 S - 0.20 S = 20,00,000 -> S = Rs. 1,00,00,000
```

# PAPER 2 : [6380]-5001 | 101-GC-01 Managerial Accounting

## Q1) Solve any five out of eight (2 marks each) - all solved

### a) i) Cost already incurred which cannot be altered by any future decision is called _____

**Sunk cost.** It is irrelevant for decision making. Example: money already spent on buying a machine.

### a) ii) Interest on drawings is treated as

**Answer: C) Gain for the business.** The owner pays interest to the business on his drawings, so it is an income of the business.

### b) i) Which item shows a credit balance in the Trial Balance?

**Answer: A) Purchase Return.** Sales return, prepaid expenses and carriage outward are debit balances.

### b) ii) What do you mean by standard costing?

Standard costing means fixing pre-determined standard costs for material, labour and overheads, comparing them with actual costs, and analysing the variances for control.

### c) i) Which one is correct according to the Fundamental Accounting Equation?

**Answer: D) Outsiders' Liabilities = Assets - Capital.** The equation is Assets = Capital + Liabilities.

### c) ii) Amount which is irrecoverable from debtors is treated as _____

**Bad debts** (a loss, debited to Profit & Loss A/c).

### d) Write the classification of cost by behaviour.

- **Fixed cost** - does not change with output (rent, insurance).
- **Variable cost** - changes with output (raw material).
- **Semi-variable (mixed) cost** - partly fixed and partly variable (telephone bill).

### e) What do you mean by contribution?

Contribution is the excess of sales over variable cost: **Contribution = Sales - Variable cost** (also = Fixed cost + Profit). It contributes towards recovery of fixed cost and then gives profit.

### f) Write any two limitations of Mahajani Accounting system.

- No fixed rules or uniform format, so comparison and audit are difficult.
- Not suitable for large business and not accepted fully by tax authorities, banks and the law for company accounts.

### g) What do you mean by Debit (Dr.) and Credit (Cr.)?

In double-entry, **Debit** is the left side of an account and **Credit** is the right side. Debit means increase in assets and expenses (decrease in liabilities, capital and income); Credit means increase in liabilities, capital and income (decrease in assets and expenses).

### h) Write any two standards used to determine standard cost per unit.

- **Material standards:** standard quantity (usage) of material per unit and standard price per unit of material.
- **Labour standards:** standard time per unit and standard wage rate per hour. (Standards may be ideal, normal or current.)

## Q2) Solve any two out of three (5 marks each) - all solved

### a) Differentiate between Indian Accounting system and Modern Accounting system.

| Basis | Indian (Mahajani / Bahi-khata) | Modern accounting |
|---|---|---|
| Language / format | Local language, long registers (bahi) | Standard formats, English, computer software |
| Books | Rokad bahi, Khata bahi, Nondh vahi | Journal, ledger, subsidiary books, trial balance |

| Basis | Indian (Mahajani / Bahi-khata) | Modern accounting |
|---|---|---|
| Rules | No uniform rules, different for each trader | Follows GAAP, Accounting Standards, Companies Act |
| Final accounts | Not always prepared properly | Trading, P&L A/c and Balance Sheet are prepared |
| Suitability | Small traders | All types of business including companies |
| Acceptance | Limited for tax, audit and banks | Fully accepted |

### b) Explain importance and advantages of cost accounting.

- **Cost ascertainment:** finds exact cost per unit, job or process.
- **Cost control and reduction:** by budgets and standard costing, wastage is reduced.
- **Pricing decisions:** helps in fixing selling price and quotations.
- **Profitability analysis:** shows which product, department or customer is profitable.
- **Managerial decisions:** make or buy, shut down, product mix, expansion.
- **Inventory control and efficiency:** proper control of stores and labour, and it helps in detecting frauds and wastage.
- **Helps financial accounts:** provides stock valuation and cost data for final accounts.

### c) Explain the accounting conventions using suitable examples.

- **Convention of consistency:** same accounting methods should be followed every year. Example: if depreciation is charged by straight line method this year, the same should be used next year.
- **Convention of disclosure:** all material information should be disclosed in the financial statements. Example: contingent liability or pending court case is shown in notes.
- **Convention of materiality:** only important items are shown separately; small items can be ignored. Example: a pencil or stapler is treated as expense, not asset.
- **Convention of conservatism:** provide for all expected losses but do not take expected profits. Example: stock is valued at cost or market price whichever is lower; provision for doubtful debts is made.

## Q3) Solve any one out of two (10 marks) - both solved

### a) Material variances (A and B)

| Material | Std Qty | Std Rate | Std Cost | Act Qty | Act Rate | Act Cost |
|---|---|---|---|---|---|---|
| A | 10 | 10 | 100 | 12 | 11 | 132 |
| B | 9 | 8 | 72 | 10 | 7 | 70 |
| **Total** | | | **172** | | | **202** |

**i) Material Cost Variance = SC - AC**

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= 172 - 202 = Rs. 30 (A)
```

**ii) Material Price Variance = (SP - AP) x AQ**

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A: (10 - 11) x 12 = 12 (A) B: (8 - 7) x 10 = 10 (F) Total = Rs. 2 (A)
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**iii) Material Usage Variance = (SQ - AQ) x SP**

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A: (10 - 12) x 10 = 20 (A) B: (9 - 10) x 8 = 8 (A) Total = Rs. 28 (A)
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**Check:** MPV + MUV = 2 (A) + 28 (A) = 30 (A) = MCV. Correct.

### b) Material variances (P and Q)

| Material | Standard | Std Cost | Actual | Act Cost |
|---|---|---|---|---|
| P | 500 units @ Rs. 40 | 20,000 | 600 units @ Rs. 40 | 24,000 |
| Q | 400 units @ Rs. 60 | 24,000 | 400 units @ Rs. 65 | 26,000 |
| **Total** | | **44,000** | | **50,000** |

```
i) MCV = SC - AC = 44,000 - 50,000 = Rs. 6,000 (A)
ii) MPV = (SP - AP) x AQ : P = (40-40) x 600 = 0 ; Q = (60-65) x 400 = 2,000 (A) -> Rs. 2,000 (A)
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iii) MUV = (SQ - AQ) x SP : P = (500-600) x 40 = 4,000 (A) ; Q = (400-400) x 60 = 0 -> Rs. 4,000 (A)

**Check:** 2,000 (A) + 4,000 (A) = 6,000 (A) = MCV.

## Q4) Solve any one out of two (10 marks) - both solved

### a) RXZ Co. - CVP analysis

Overhead per unit Rs. 10 on 60,000 units = Rs. 6,00,000 total. Variable part 30% = 1,80,000 (Rs. 3 per unit). Fixed part 70% = Rs. 4,20,000.

Variable cost per unit = 30 + 15 + 3 = Rs. 48 ; Selling price = Rs. 80

**i) Contribution**

Per unit = 80 - 48 = Rs. 32 ; Total = 32 x 60,000 = Rs. 19,20,000

**ii) P/V ratio**

= 32 / 80 x 100 = 40%

**iii) BEP in units**

= Fixed cost / Contribution per unit = 4,20,000 / 32 = 13,125 units

**iv) BEP in sales**

= 13,125 x 80 = Rs. 10,50,000 (also 4,20,000 / 0.40)

**v) Margin of safety**

Actual sales = 60,000 x 80 = 48,00,000 ; MOS = 48,00,000 - 10,50,000 = Rs. 37,50,000 (46,875 units; 78.125% of sales)

Profit = 19,20,000 - 4,20,000 = Rs. 15,00,000.

### b) ABC Co. - Cash budget April to June 2023

**Assumptions:** 20% of sales are cash sales (received in same month); 80% are credit sales, of which 50% is received in the 1st month after sale and 50% in the 2nd month after sale. Creditors are paid in the month following purchase. Wages are paid within the same month (1st and 16th).

**Working of credit sales (80%)**

| Month | Sales | Cash sales 20% | Credit sales 80% |
|---|---|---|---|
| February | 1,80,000 | 36,000 | 1,44,000 |
| March | 1,92,000 | 38,400 | 1,53,600 |
| April | 1,08,000 | 21,600 | 86,400 |
| May | 1,74,000 | 34,800 | 1,39,200 |
| June | 1,26,000 | 25,200 | 1,00,800 |

| Particulars | April | May | June |
|---|---|---|---|
| Opening cash / bank balance | 25,000 | 41,400 | (54,800) |
| RECEIPTS: Cash sales (20%) | 21,600 | 34,800 | 25,200 |
| From credit sales of 1st month before (50%) | 76,800 (Mar) | 43,200 (Apr) | 69,600 (May) |
| From credit sales of 2nd month before (50%) | 72,000 (Feb) | 76,800 (Mar) | 43,200 (Apr) |
| Total receipts | 1,70,400 | 1,54,800 | 1,38,000 |
| Total cash available | 1,95,400 | 1,96,200 | 83,200 |
| PAYMENTS: Creditors (previous month purchases) | 1,44,000 | 2,43,000 | 2,46,000 |
| Wages | 10,000 | 8,000 | 16,000 |
| Total payments | 1,54,000 | 2,51,000 | 2,62,000 |
| **Closing balance (Surplus / Overdraft)** | **41,400** | **(54,800)** | **(1,78,800)** |

**Suggestion**

The company has surplus cash of Rs. 41,400 at the end of April, but it faces a deficit of Rs. 54,800 at the end of May and Rs. 1,78,800 at the end of June because heavy purchases (Rs. 2.4 to 2.7 lakh) are paid before the sales are collected. So the company **should arrange an overdraft facility of about Rs. 1,80,000 to Rs. 2,00,000** (with

a little margin) from the bank from May. It should also try to collect debtors faster and negotiate longer credit from suppliers to reduce interest cost.

## Q5) Solve any one out of two (10 marks) - both solved

### a) M/s. K.N. Fulari - Trading, P&L A/c and Balance Sheet as on 31-3-2024

**Working notes**

- 'Returns' 2,400 (Dr) = sales return; 1,000 (Cr) = purchase return. 'Discount' 1,300 (Dr) = discount allowed.
- Insurance: paid up to 30-6-2024, so 3 months are prepaid. Taking the premium of Rs. 2,000 as covering 15 months (1-4-2023 to 30-6-2024), prepaid = 2,000 x 3/15 = Rs. 400. Expense = 1,600.
- Bad debts: 600 + 1,000 further = 1,600. Debtors after write-off = 39,000. New RDD 5% = 1,950; old RDD 600, so additional charge = 1,350.
- Reserve for discount on debtors 2% on (39,000 - 1,950 = 37,050) = 741 (expense). Reserve for discount on creditors 3% of 30,000 = 900 (gain).
- Depreciation: Building 5% = 2,500; Machinery 10% = 1,500; Furniture 15% = 1,500; total 5,500.
- Private travelling 400 is removed from travelling (1,600 - 400 = 1,200) and added to drawings (2,000 + 400 = 2,400).

**Trading Account**

| Particulars | Rs. | Particulars | Rs. |
|---|---|---|---|
| To Opening stock | 30,000 | By Sales 1,25,000 less returns 2,400 | 1,22,600 |
| To Purchases 75,000 less returns 1,000 | 74,000 | By Closing stock | 45,000 |
| To Wages | 3,500 | | |
| To Gross profit c/d | 60,100 | | |
| **Total** | **1,67,600** | **Total** | **1,67,600** |

**Profit and Loss Account**

| Particulars | Rs. | Particulars | Rs. |
|---|---|---|---|
| To Sundry expenses | 600 | By Gross profit b/d | 60,100 |
| To Salaries | 5,600 | By Reserve for discount on creditors | 900 |
| To Travelling (1,600 - 400) | 1,200 | | |
| To Advertisement | 600 | | |
| To Rent and taxes | 2,800 | | |
| To Insurance (2,000 - 400) | 1,600 | | |
| To Bad debts (600 + 1,000) | 1,600 | | |
| To Additional RDD (1,950 - 600) | 1,350 | | |
| To Discount allowed | 1,300 | | |
| To Reserve for discount on debtors | 741 | | |
| To Depreciation | 5,500 | | |
| To Net profit (to capital) | 38,109 | | |
| **Total** | **61,000** | **Total** | **61,000** |

**Balance Sheet as on 31-3-2024**

| Liabilities | Rs. | Assets | Rs. |
|---|---|---|---|
| Capital | 83,000 | Building 50,000 - 2,500 | 47,500 |
| Add: Net profit | 38,109 | Machinery 15,000 - 1,500 | 13,500 |
| Less: Drawings (2,000 + 400) | (2,400) | Furniture 10,000 - 1,500 | 8,500 |
| | 1,18,709 | Closing stock | 45,000 |
| Creditors 30,000 | | Debtors 39,000 | |
| Less: Reserve for discount 900 | 29,100 | Less: RDD 1,950 and discount reserve 741 | 36,309 |

| Liabilities | Rs. | Assets | Rs. |
|---|---|---|---|
| Bank overdraft | 6,400 | Prepaid insurance | 400 |
| | | Cash | 3,000 |
| **Total** | **1,54,209** | **Total** | **1,54,209** |

Balance sheet tallies at Rs. 1,54,209. **Gross profit = Rs. 60,100; Net profit = Rs. 38,109.**

### b) Cost sheet for the year ending April 2024

*Interest on debentures (Rs. 700) is a financial item and is excluded from the cost sheet. Godown insurance, showroom, delivery vans and market research are treated as selling & distribution overheads. No work-in-progress is given.*

| Particulars | Rs. | Rs. |
|---|---|---|
| Opening stock of raw materials | | 12,000 |
| Add: Purchases of materials | | 1,20,000 |
| Less: Closing stock of raw materials | | (20,000) |
| (i) Raw material consumed | | 1,12,000 |
| Direct labour | | 30,000 |
| Direct expenses: cost of moulds | | 3,000 |
| (ii) PRIME COST | | 1,45,000 |
| Factory overheads: Factory manager's salary 1,000 + Machine depreciation 800 | | 1,800 |
| (iii) FACTORY COST | | 1,46,800 |
| Office & administration overheads: Office salary 9,000, Office insurance 1,000, Director's fees 2,000, Telephone 700 | | 12,700 |
| (iv) COST OF PRODUCTION | | 1,59,500 |
| Add: Opening stock of finished goods | | 40,000 |
| Less: Closing stock of finished goods | | (50,000) |
| (v) COST OF GOODS SOLD | | 1,49,500 |
| Selling & distribution overheads: Salary 6,000, Godown insurance 800, Showroom 1,200, Delivery vans 1,500, Market research 600 | | 10,100 |
| (vi) COST OF SALES | | 1,59,600 |
| Sales | | 2,00,000 |
| **(vii) PROFIT (Sales - Cost of sales)** | | **40,400** |